ALVESTONE ESTATE (1985) (PRIVATE) LIMITED
versus
TRACY MUTINHIRI
and
HONOURABLE N. T. MTSHIYA (RETIRED) N.O. (ARBITRATOR)

HIGH COURT OF ZIMBABWE
MAMBARA J
HARARE 16, 18 and 29 September 2025

Opposed Application

P. Chakasikwa, for the applicant
1st respondent in person

MAMBARA J:

[1] This is an application by Alvestone Estate (1985) (Pvt) Ltd ("the Applicant") to partially set aside an arbitral award pursuant to Article 34(2)(iii) of the Arbitration Act [*Chapter 7:15*] (the "Act"). The applicant contends that the arbitrator (Hon. MTSHIYA J (Retired)) (May his soul rest in peace) exceeded his mandate by ordering a renegotiation of the Land Utilisation and Debt Repayment Agreement and by inserting new provisions not contemplated by the parties, thus falling outside the scope of the submission to arbitration. The applicant seeks to set aside paragraphs 24(2) and 24(3) of the arbitral award and to amend the remaining provisions accordingly. The first respondent, Dr Tracy Mutinhiri ("the Respondent"), opposes the application and raises various defences including that she lacked legal representation, that enforcement of the agreement would cause her undue hardship, and that the applicant would otherwise be unjustly enriched. For reasons that follow, I grant the application in part and order paragraphs 24(2) and 24(3) of the award to be set aside. Each party shall bear its own costs of this application.

Background

[2] The material facts are largely common cause. The respondent held an offer letter to a portion of Waltondale Farm in Marondera and had defaulted on a US$340,000 loan to CBZ Bank by early 2018. To revive the farming operations and enable debt repayment, the parties entered into a "Land Utilisation and Debt Repayment Agreement" (the

"Agreement") on 5 May 2018. Under that written agreement, the respondent made the farm available to the applicant to manage farming operations, and the applicant provided inputs to farm viably and to repay the bank loan. The Agreement expressly ran for a term of ten years, with any variations or amendments permitted only if agreed by both parties in writing. The applicant duly took over the farm and repaid the bank debt within three years. After the debt was settled, the respondent demanded that the applicant and its staff vacate the farm, notwithstanding that the Agreement was still on foot. The respondent also began interfering with the applicant's operations, contrary to the contractual undertaking not to hinder the applicant on the farm.

[3] The applicant then referred a dispute to arbitration at the Commercial Arbitration Centre, Harare to enforce the Agreement. The only issues submitted to the arbitrator were (i) whether the Agreement remained extant and (ii) whether the respondent was in breach of the Agreement, warranting an interdict. The applicant sought a declaration that the Agreement was extant and an interdict restraining the respondent from interfering with farming activities. The respondent's defence, initially by counsel and later in person, did not include a counterclaim but did seek an "alternative remedy" (apparently an offer of renegotiation). At the conclusion of the hearing, the arbitrator issued an award in which he found the Agreement extant but went on to order that the parties renegotiate new terms and even inserted provisions to vary the contractual arrangement effectively shortening the 10-year term and ordering automatic termination if renegotiation failed. The award's operative paragraphs 24(2) and 24(3) thus direct a renegotiation of the Agreement and impose new terms not originally agreed, whereas paragraph 24(1) declared the Agreement extant and paragraph 24(4) dealt with costs. It is common ground that the applicant did not seek or agree to any such renegotiation remedy in the arbitration and that the arbitrator's orders in paras 24(2) – (3) were not part of the issues referred.

[4] The applicant promptly applied to this Court on 10 November 2022 to set aside paragraphs 24(2) and 24(3) of the award for want of jurisdiction, relying on Article 34(2)(iii) of the Act. Article 34(2)(iii) provides that an arbitral award may be set aside where it "deals with a dispute not contemplated by or not falling within the terms of the submission to arbitration, or contains decisions on matters beyond the scope of the submission to arbitration," and allows severance of the award so that only the offending part is set aside. The applicant contends that the arbitrator exceeded his mandate by venturing beyond the agreed issues (extant and breach) and by rewriting the Agreement.

The respondent opposes this, and in addition argues that (a) her lack of legal representation rendered the arbitral process unfair; (b) the award should be refused on grounds of "undue hardship" to her and because the applicant would be unjustly enriched if the award is enforced as is; and (c) the Court should instead enforce the award (or dismiss the application) and possibly remit the matter for renegotiation as she had requested.

Issues for Determination

[5] The central issue is whether the arbitrator exceeded his powers by inserting the renegotiation remedy and altering the parties' agreement, so that paras 24(2) – (3) of the award must be set aside under Article 34(2)(iii). Subsidiary issues are whether the respondent's defences, lack of counsel, hardship, unjust enrichment, have any bearing on the Article 34 analysis, and what the proper relief should be if the application succeeds. In outline, I must decide:

(a) Did the arbitrator exceed the scope of his authority by ordering renegotiation and adding new terms not within the submission, thereby violating Article 34(2)(iii)?

(b) If so, does this entitle the applicant to set aside the relevant parts of the award, or do any of the respondent's arguments bar relief?

(c) Assuming relief is warranted, what variation or severance of the award should be made?

Analysis

(a) Scope of the Arbitrator's Authority – Article 34(2)(iii)

[6] Article 34(2)(iii) of the Act (adopted from the UNCITRAL Model Law) provides the exclusive grounds for challenging an award on jurisdictional grounds. It makes clear that a court may set aside any part of an award that goes beyond the submission to arbitration. Here, the submission to arbitration was narrowly confined to whether the Agreement was still in force and whether the respondent was breaching it. There is no dispute that ordering the parties to renegotiate the Agreement and rewriting its provisions was not part of these agreed issues.

[7] It is a fundamental principle that an arbitrator's powers derive solely from the terms of reference agreed by the parties. Absent a fresh court reference, the tribunal cannot alter the scope of arbitration by adding new issues or remedies. As *Halsbury's Laws of England*, Vol I, para. 1079, p. 633 observes, "without a new court order, parties cannot alter the submission to arbitration," and arbitrators "are thereby prevented from extending

their jurisdiction through mutual consent alone". In other words, arbitrators cannot enlarge their mandate on their own motion regardless of the arbitrator's good intentions or the parties' consent. In this case, clause 4 of the Agreement explicitly provides that any variations to the agreement must be agreed in writing by both parties. The arbitrator therefore had no authority to impose new terms or require a renegotiation not contemplated by the Agreement's plain words. To the contrary, he was *functus officio* with respect to the two issues referred.

[8] The Award itself recognizes the limited terms of reference. Yet despite finding that repayment of the debt did not terminate the Agreement, the arbitrator went on (in paras 24(2) – (3)) to compel the parties to "renegotiate" or face automatic termination, effectively rewriting the contract's duration and conditions. This is precisely the kind of excess that Article 34(2)(iii) forbids. By the arbitrator's own description, he "proceeded to make an award that exceeded or went beyond the issues he had to determine". In doing so he addressed matters – such as how long the Agreement should run and what happens if renegotiation fails – that were neither pleaded nor submitted.

[9] In the celebrated case of *Telcordia Technologies Inc* v *Telkom SA Ltd* 2007 (3) SA 266 (SCA) the South African Supreme Court held that an arbitration award must be set aside if the tribunal "exceeds its powers" by deciding issues outside the submission. In that case the SCA (per HARMS JA) emphasised that when a tribunal exercises a power it does not have, it has exceeded its mandate and the award must be annulled in the relevant parts. The reasoning applies equally here. The arbitrator's decision to force the parties to renegotiate – and to shorten the 10-year term of the contract – was not within the agreed remit. He thus "exercised a power that he did not have". The Articles specifically allow partial severance. If an excess can be separated from the parts properly decided, only the offending portion is set aside. Accordingly, the Court may and should excise paragraphs 24(2) and (3) of the Award as beyond the arbitrator's authority.

(b) Respondent's Defences

[10] The respondent argues that the application should fail on various grounds. None of these alter the Article 34 analysis. First, she contends that because she appeared without counsel, the proceedings were tainted or unfair. This is not a ground of challenge under Article 34, which does not require parties to have legal representation, nor does it invalidate an award where a party proceeds pro se. On the contrary, arbitration practice commonly permits self-representation. More importantly, the respondent was given

notice of the proceedings and the opportunity to present her case first through counsel, then in person which she did. She identified issues, filed documents, and orally argued her case. There is no claim that she was "unable to present [her] case" in any material way; indeed, she even obtained extensions to wind up her affairs before vacating the farm. In these circumstances her lack of ongoing counsel is not a valid basis to nullify the Award or extend the arbitrator's powers.

[11] Second, the respondent invokes "undue hardship" and "unjust enrichment" as reasons why the Award or parts of it should not be set aside or enforced as is. Those are equitable considerations that have no place in the narrow set-aside regime. Zimbabwe law, following the Model Law, does not permit courts to rewrite contracts or refuse relief simply because enforcement would be hard or unfair. The Agreement here was valid and the parties' obligations were clear. The respondent made her land available for a fixed term in exchange for having her debt paid. She freely agreed that any variations would be in writing (and none were). It is well settled that an arbitration court cannot improve upon a contract because one party claims hardship. Indeed, the contract itself, at clause 3, provides that Alvestone's use of the land "is limited to the time within which the debt … subject to a minimum of ten years, will be paid in full, whereupon possession of the farm will revert to the farmer". Thus, the Agreement was explicitly for at least ten years, not terminated by debt repayment alone. The respondent's contention that the contract "discharged" upon loan settlement is contrary to its own terms and was rightly rejected by the arbitrator. Similarly, any claim of unjust enrichment is misplaced. Alvestone expended resources and paid off the debt in accordance with the Agreement, in exchange for which it would farm the land for ten years. The notion that it would be unjust for Alvestone to remain on the farm for the agreed term simply because the debt is settled has no support in law.

[12] In short, none of the respondent's defences provides a ground to uphold the excess portion of the Award. Article 34 does not countenance a "merits" review of the arbitrator's decision or equitable arguments (cf. *ZESA* v *Maposa* 1999 (2) ZLR 452 (S), except as limited to the enumerated jurisdictional defects. The respondent's claims of hardship and enrichment are properly matters of contract law, not flaws in the arbitration process. Likewise, her self-representation cannot retroactively expand the arbitrator's powers or excuse the Award's overreach. The Act's exclusive grounds for setting aside – such as incapacity, notice, fraud, or public policy – have no application here. In

particular, Article 34(2)(a)(ii) refers only to inability to present one's case, and the respondent presented her case fully. Thus, the Article 34(2)(iii) ground of excess of mandate stands on its own.

[13] It follows that the arbitrator's orders in paras 24(2) – (3) must be set aside. Those orders dealt with matters beyond the submission – namely, the proposal that the parties renegotiate a new agreement and the insertion of fresh terms, altering the contract's duration and imposing automatic termination. They were not separable "recommendations" but parts of the Award's dispositive paragraphs. Under Article 34(2)(iii) this excess must be struck out, leaving the rest of the Award intact. As the South African court noted in *Telcordia*, when a tribunal exercises a power it does not possess, "that warrants the setting aside" of the order.

(c) Appropriate Relief

[14] Having found that paras 24(2) – (3) exceeded the arbitrator's remit, it remains to specify the relief. The Act permits partial setting aside. The court "may set aside only that part of the award which contains decisions on matters not submitted to arbitration". Here, I accordingly set aside paragraphs 24(2) and (3) of the Award. Paragraph 24(1), declaring the Agreement extant and paragraph 24(4) on costs are unaffected in substance, but any references therein to the renegotiation process must be removed or disregarded. The amended Award will thus consist of finding the Agreement still in force (para 24(1) as worded in the Award) and dealing with costs (para 24(4) as may be necessary). In effect, the only relief the arbitrator had authority to grant, the declaration of the Agreement's validity and an interdict against the respondent's interference, should stand, while the unauthorized directions fall away.

[15] As no one has succeeded fully, the parties shall bear their own costs in this application. It was a true dispute of law on the meaning of Article 34(2)(iii), and each side was represented. In equity and in line with practice in arbitration challenges, no order for costs is made against either party.

Conclusion and Order

[16] In summary, the arbitrator erred by exceeding the scope of the submission. His mandate was confined to determining whether the Land Utilisation and Debt Repayment Agreement remained binding and whether the respondent had breached it. He should not have ordered a renegotiation or altered the contract's terms. The award's paragraphs 24(2) and 24(3) are accordingly set aside under Article 34(2)(iii) of the Arbitration Act.

Paragraphs 24(1) and 24(4) of the award are retained with necessary amendments to remove references to the now-excised provisions. All other aspects of the Award stand. The applicant's application succeeds in part. There will be no order as to costs, each party to bear its own costs.

In the result, it is ordered as follows;

1. Paragraphs 24(2) and 24(3) of the arbitral award are set aside.
2. Paragraphs 24(1) and 24(4) are amended accordingly to remove the provisions ordered in paras 24(2) – (3) regarding renegotiation and automatic termination of the agreement.
3. Each party shall bear its own costs of this application

MAMBARA J: …..……..

Kantor and Immerman, applicant's legal practitioners